

23NWCV01313 23NWCV01313

County: los-angeles

Division: Civil Law and Motion

Department: C

Hearing date: 2026-09-11

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Case Number: 23NWCV01313 Hearing Date: September 11, 2026 Dept: C

LEPE vs PIH HEALTH, INC..

CASE NO.: 23NWCV01313

HEARING: 8/3/26 @ 9:30 AM

#10

TENTATIVE

RULING

Defendant

COASTAL LANDSCAPE SERVICES, INC.'s Motion for Determination of Good Faith Settlement
is GRANTED.

Moving Party to give NOTICE.

Defendant COASTAL

LANDSCAPE SERVICES, INC. (Coastal)

moves for determination of good faith settlement between Coastal and Plaintiff Mario

Lepe (Plaintiff) pursuant to Code of Civil Procedure section 877.6. Defendant PIH Health

Real Estate Services, LLC (PIH) opposes the motion.

Background

This is a personal injury case arising from an

incident that occurred

on or about March 1, 2023. Plaintiff alleges that a planted tree in

Defendant PIH Health Real Estate Services, LLC'S (PIH) parking lot collapsed. Coastal is responsible for maintaining PIH's grounds. (Complaint, ¶ 8.) In April 2023, Plaintiff filed this action against PIH and Coastal Landscape asserting causes of action for negligence and premises liability, alleging Plaintiff was injured as a result of a dangerous condition created by Defendants. Plaintiff alleges both physical and mental injuries, including TBI. Coastal disputes both liability and the nature and extent of Plaintiff's injuries.

Legal Standard

The trial court's determination of good faith as to a Code of Civil Procedure (CCP) § 877.6 application must take into account "a number of factors," including total recovery and proportionate liability, "the amount paid in settlement, the allocation of settlement proceeds among plaintiffs, and a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial." *¿*(Tech-Bilt, Inc. v. Woodward-Clyde & Associates, *¿*(1985) 38 Cal.3d 488, 499; see also *Far West Financial Corp. v. D&S Co.*, *¿*(1988) 46 Cal.3d 796, 816, fn. 16 [expanding on Tech-Bilt factors].) *¿* "If section 877.6 is to serve the ends of justice, it must prevent a party from purchasing protection from its indemnification obligation at bargain-basement prices." (*Long Beach Memorial Medical Center v. Superior Court*, *¿*(2009) 172 Cal.App.4th *¿*865, 876.) *¿*

"[A] defendant's settlement figure must not be grossly disproportionate to what a reasonable person, at the time of the settlement, would estimate the settling defendant's liability to be." (*Torres v. Union Pacific R. Co.*, *¿*(1984) 157 Cal.App.3d 499, 509.) *¿* If the settlement is not so far "out of the ballpark" in relation to the above factors as to be inconsistent with the equitable objectives of CCP § 877.6, the settlement shall be determined as being made in good faith. (*Tech-Bilt*, *¿*supra, 38 Cal.3d at pp. 499—500.)

Discussion

Coastal has agreed to pay Plaintiff \$500,000.00 for a release of all liability from Plaintiff. Coastal contends that the Settlement Agreement was made in good faith given the settlement between

Plaintiff and Defendant was reached after the parties engaged in arms-length settlement negotiations, including two mediations, without any attempt to injure or harm any other party, and after discovery including independent medical examinations. (Foston Decl. ¶19.) As to approximation of total recovery, Coastal contends that the settlement amount is more than what Plaintiff personally paid for his medical expenses, and Coastal disputes Plaintiff's claimed injuries.

In opposition, PIH argues that payment of \$500,000 is too low and Coastal's Motion presents no evidence to justify this settlement amount. PIH argues that the potential exposure as much as \$5 million, therefore the settlement amount of \$500,000 is only 10% of a potential exposure and not in the "ball park." PIH counters that Coastal made all tree care decisions, including the selection of the species of the tree that was planted and watering. PIH points out that Plaintiff has alleged that Coastal's care of the tree increased the likelihood of the tree's failure. (Racanelli Decl., ¶ 2, Ex. A, Plaintiff Mario Lepe's Response to Coastal Landscape Services, Inc.'s First Supplemental Interrogatory No. 30.) Coastal's Special Interrogatory No. 30 and Plaintiff's response is as follows:

"SPECIAL INTERROGATORY NO. 30

State all facts supporting YOUR contention that Defendant is responsible for YOUR injuries and damages.

SUPPLEMENTAL RESPONSE TO SPECIAL INTERROGATORY
NO. 30

Coastal Landscaping Services, LLC's ("Coastal") liability is clear cut. Coastal was notified of the tree's likelihood of failure and took no steps to mitigate the risk of the tree's failure and/or remove the tree. Moreover, all tree care decisions were made by Coastal from species selection to general care, such as watering. The level of care Coastal provided in these respects considering the species and the space increased the likelihood of the tree's failure."

In reply, Plaintiff maintains that PIH, the property owner, is charged with maintaining the property, including the tree that struck Plaintiff, in a reasonably safe condition, and that duty is non-delegable as a matter of law. Thus, PIH

is vicariously liable for Coastal's negligence, and PIH remains jointly and severally liable for the entire verdict regardless of what percentage of comparative fault a jury ultimately assigns to Coastal. (*Srithong v. Total Investment Co.* (1994) 23 Cal.App.4th 721, 727-28 (Proposition 51's limitation upon an individual tortfeasor's liability for noneconomic damages does not apply where one tortfeasor is vicariously liable for the negligence of another).)

At the August 3, 2026 hearing, Plaintiff and PIH disclosed to the Court their respective settlement offers to each other. Under Plaintiff's offer to PIH, Plaintiff would obtain approximately 80% of his total recovery from PIH and approximately 20% from Coastal. With this new information, the Court believes Coastal has demonstrated that the amount of its settlement with Plaintiff is within the reasonable range of the settling defendant's proportional share of comparative liability for Plaintiff's injuries. Coastal contends that evidence showed that Coastal was permitted to perform work only with PIH's approval, that Coastal requested permission to address the subject tree, among other trees on the property, after being given notice by PIH that the tree was leaning, and that there is no dispute that Coastal was not permitted to perform such work without PIH's written approval. PIH also had several days to secure or barricade the subject tree to prevent it from falling, but failed to do so, and PIH only approved Coastal to work on the property following the tree falling. (*Foston Decl.*, ¶13) At the hearing, the Court granted PIH's request to submit supplemental briefing on the issue of Coastal's proportional share of comparative liability for Plaintiff's injuries.

The Court has reviewed supplemental briefing from PIH, Coastal and Plaintiff. PIH argues that Coastal assessed the subject tree on February 23, 2023 at PIH's request. Upon assessing the tree, Coastal's recommendation to PIH was to trim and lace all 24 trees in the parking lot. Coastal made specific recommendations to PIH regarding tree care and maintenance to avoid issues such as a falling tree striking someone. Furthermore, PIH was not advised by Coastal that there was an emergency situation. PIH relied on Coastal to determine if the tree needed to be braced and whatever else needed to be done with the trees at the site. PIH was given no indication that the subject tree was at imminent risk of falling. The tree could have been removed immediately on February 23, 2023, if recommended

by Coastal. The Court determines that PIH has not met its burden of showing that the \$500,000.00 settlement between Plaintiff and Coastal was not reached in good faith. (CCP § 877.6, subd. (d).) It remains undisputed that Coastal was not permitted to perform the recommended work without PIH's written approval, and that approval was not given until after the tree fell. PIH took no action on Coastal's recommendations for the six day period between Coastal's assessment of the trees on February 23, 2023 and the Subject Incident on March 1, 2026. PIH argues that Coastal failed to communicate any sense of urgency about the risk of the tree falling, but it is apparent that PIH recognized this risk on its own, and that is why PIH asked Coastal to perform the assessment. Had PIH acted promptly on Coastal's recommendations and the tree still fell, the outcome of this motion would likely be different. On this record, however, the Court finds that the \$500,000.00 settlement between Plaintiff and Coastal was reached in good faith and is not grossly disproportionate to Coastal's share of liability.

Accordingly, the motion is GRANTED.